

Economics

Higher level

Paper 2

SME Predicted Paper – Hard

1 hour 45 minutes

Instructions to candidates

- Do not open this paper until instructed to do so.
- You are permitted access to a calculator for this paper.
- Unless otherwise stated in the question, all numerical answers must be given exactly or correct to two decimal places.
- You must show all your working.
- Answer one question.
- Use fully labelled diagrams and references to the text/data where appropriate.
- The maximum mark for this examination paper is [40 marks].

Answer one question.

1. Read the extracts and answer the questions that follow.

Text A — Turkey: Growth Under Pressure

1. Turkey, a G20 economy with a population of 85 million, has experienced a turbulent decade of rapid growth, persistent inflation and repeated currency crises. GDP rose from US\$833 billion in 2011 to a peak of US\$906 billion in 2022, but measured in Turkish lira real GDP growth has averaged around 5.5% per year.
2. Inflation accelerated sharply in 2022, reaching an annual rate of 85% in October, the highest level in 24 years. Core drivers included sharp depreciation of the Turkish lira, higher global energy and food prices, and unorthodox monetary policy that kept interest rates low despite rising inflation.
3. The Central Bank of the Republic of Turkey (CBRT) cut its policy rate from 14% to 8.5% between 2021 and early 2023 even as inflation surged — a policy choice that sharply contrasted with the global tightening cycle. Following the 2023 election the central bank reversed course, raising the policy rate in several steps.
4. Unemployment remained elevated at around 10.5%, with youth unemployment at 20%. Labour force participation is low, particularly for women (around 35%), and the informal sector is estimated to account for 30% of employment.
5. Turkey is a major manufacturer and exporter of vehicles, machinery, textiles, and iron & steel, and is also a significant tourist destination. The country runs a persistent current account deficit driven largely by imports of oil and natural gas.

Text B — The Lira and Capital Flight

1. The Turkish lira lost around 40% of its value against the US dollar in 2021, and a further 30% in 2022. Depreciation on this scale has made imports significantly more expensive and has fuelled inflation through the exchange-rate pass-through channel.
2. Turkish households have responded by shifting their savings into foreign currency and gold. 'Deposit dollarisation' — the share of bank deposits held in foreign currency — rose above 60% in late 2022.
3. In response, the government introduced a scheme compensating lira depositors for any losses in the lira's value against foreign currencies. While this slowed the pace of dollarisation, it created a large contingent fiscal liability for the Treasury.
4. Turkey's FDI inflows have slowed relative to earlier in the decade, reflecting investor concerns over macroeconomic stability and the rule of law. FDI fell from US\$18.0 billion in 2007 to US\$13.3 billion in 2022.
5. Some economists argue that the lira's weakness, combined with Turkey's industrial base and geographic location, offers a long-term competitive advantage in exporting manufactures to Europe and the Middle East — provided macroeconomic stability can be restored.

	2013	2018	2022
GDP (US\$ billion)	957.8	778.5	906.0
Inflation rate (%)	7.5	16.3	72.3

	2013	2018	2022
Policy interest rate (% end of year)	7.75	24.0	9.00
Current account balance (% of GDP)	-6.7	-2.6	-5.4
Exchange rate (TRY / US\$, year- average)	1.90	4.83	16.55
FDI net inflows (US\$ billion)	13.6	13.0	13.3

Table 1: Selected indicators for Turkey, 2013–2022

Question 1 continued

- (a)(i)** Define the term policy interest rate indicated in bold in Text A, Paragraph 3. **[2]**
- (a)(ii)** Define the term informal sector indicated in bold in Text A, Paragraph 4. **[2]**
- (b)(i)** Using Table 1, calculate the percentage change in the TRY/US\$ exchange rate between 2013 and 2022. **[3]**
- (b)(ii)** Using Table 1, calculate the ratio of Turkey's inflation rate in 2022 to its policy interest rate in 2022 (to 2 dp). **[2]**
- (c)** Using an AD/AS diagram, explain how the lira depreciation (Text B, Paragraph 1) could contribute to inflation in Turkey. **[4]**
- (d)** Using an exchange-rate diagram, explain how deposit dollarisation (Text B, Paragraph 2) could further weaken the lira. **[4]**
- (e)** Using an appropriate diagram, explain how a policy-rate cut (Text A, Paragraph 3) in the face of rising inflation might affect Turkey's real GDP and price level in the short run. **[4]**
- (f)** Using a Phillips curve diagram, explain how the combination of high inflation and high unemployment (Text A, Paragraphs 2 and 4) could be represented for Turkey. **[4]**
- (g)** Using information from the text/data and your knowledge of economics, evaluate the policy options available to the Turkish authorities to restore macroeconomic stability. **[15]**

2. Read the extracts and answer the questions that follow.

Text A — Indonesia: From Resources to Manufacturing

1. Indonesia, with a population of 275 million, is Southeast Asia's largest economy, with a GDP of US\$1,320 billion in 2022. The country is rich in natural resources, including palm oil, coal, nickel and rubber, and is the world's largest exporter of several of these commodities.
2. The economy grew at an average annual real rate of 5% between 2011 and 2019, before contracting by 2.1% in 2020 due to the COVID-19 pandemic. The recovery has been strong, aided by high commodity prices and fiscal stimulus, with GDP growth reaching 5.3% in 2022.
3. Indonesia has sought to move up the value chain by banning exports of raw nickel ore in 2020, requiring domestic processing instead. The policy has attracted over US\$20 billion in FDI into Indonesian smelters and battery processing — a key input for electric vehicle (EV) batteries.
4. The ban has been challenged at the World Trade Organisation by the European Union on the grounds that it constitutes an illegal export restriction. The Indonesian government argues the policy is essential to build domestic industrial capacity.
5. Poverty has fallen substantially — the headcount ratio dropped from 11.3% in 2014 to 9.5% in 2022. However, income inequality remains stubbornly high (Gini $\approx$ 0.38) and regional disparities are pronounced, with Java accounting for 58% of GDP.

Text B — Structural Challenges and the EV Opportunity

1. Indonesia's manufacturing sector has struggled to keep pace with neighbours. Manufacturing's share of GDP has stagnated around 18%, and high logistics costs and infrastructure gaps add 24% to the cost of doing business relative to regional peers.
2. Government spending on infrastructure has risen sharply, including the high-speed rail project between Jakarta and Bandung and the relocation of the capital to Nusantara in East Kalimantan at an estimated cost of US\$33 billion.
3. Indonesia is positioning itself to become a global leader in EV batteries. Tesla, LG Energy and CATL have either invested or announced investments in Indonesian production facilities. The government plans for Indonesia to produce 600,000 EVs per year by 2030.
4. Environmental concerns are significant. Rapid expansion of nickel mining has been linked to deforestation and water pollution in Sulawesi and Maluku. Civil society groups argue that the EV boom risks replicating the worst aspects of Indonesia's previous commodity cycles.
5. Indonesia's current account has swung from deficit into surplus in 2021–2022 on the back of high commodity prices, but economists warn that this improvement may be temporary if commodity prices normalise.

	2014	2018	2022
GDP (US\$ billion)	891.0	1,042.2	1,319.1
Real GDP growth (%)	5.0	5.2	5.3
Manufacturing (% of GDP)	21.1	19.9	18.3

	2014	2018	2022
Poverty rate (%)	11.3	9.8	9.5
Current account (% of GDP)	-3.1	-2.9	+1.0
FDI net inflows (US\$ billion)	25.1	20.6	21.4

Table 1: Selected indicators for Indonesia, 2014–2022

Question 2 continued

(a)(i) Define the term export restriction indicated in bold in Text A, Paragraph 4. **[2]**

(a)(ii) Define the term Gini coefficient indicated in bold in Text A, Paragraph 5. **[2]**

(b)(i) Using Table 1, calculate the percentage change in Indonesia's manufacturing share of GDP between 2014 and 2022. **[3]**

(b)(ii) Using Table 1, calculate the average annual real GDP growth rate across the three years shown (2 dp). **[2]**

(c) Using an AD/AS diagram, explain how government spending on infrastructure (Text B, Paragraph 2) could affect Indonesia's long-run economic growth. **[4]**

(d) Using an export-ban diagram (or a supply and demand diagram), explain how the nickel export ban (Text A, Paragraph 3) affects the Indonesian nickel market. **[4]**

(e) Using an externalities diagram, explain how rapid expansion of nickel mining (Text B, Paragraph 4) could generate a welfare loss. **[4]**

(f) Using an exchange-rate diagram, explain how the shift in Indonesia's current account to surplus (Text B, Paragraph 5) could affect the rupiah. **[4]**

(g) Using information from the text/data and your knowledge of economics, discuss whether Indonesia's nickel export ban is an effective strategy for long-run economic development. **[15]**